

All asset allocations recommended in this chapter should be adjusted to match an investor's needs, tax situation, and risk tolerance.

GROUP 2: MIDLIFE ACCUMULATORS

As we march through life, we mature physically, intellectually, emotionally, professionally, and financially. While waving goodbye to our thirties and facing midlife head on, we start to develop a more conservative attitude about money. That is because we realize that someday we may not be able to work anymore even if we wanted to. This prompts a rethinking about our methods of saving and investing, and perhaps a change in asset allocation to go along with this new way of thinking.

Most people concede that they are mortal some time during midlife. We also admit that there are ceilings to careers, our family income, and our lifestyle. In addition, people in midlife have seen a recession or two, they have watched the stock market and interest rates flip-flop over the years, and they have made a few bad investment decisions. These lessons make midlife accumulators well equipped to design a portfolio that fits their long-term needs.

Midlife investors form their first realistic vision of what retirement will look like, and they begin to mentally compute how much they might need in order to fulfill this vision. After those estimates are made logically and rationally, it is time for midlife accumulators to adjust their strategy so that their investments are in line with this vision.

There are two important realizations that midlife investors have that trigger a need for a portfolio adjustment. First, they realize that their productive years are about half over. Second, they start to see that a viable and sustainable investment policy is critical to reaching their retirement goal. Not only do savings have to be consistent, but the investment return on those savings start having an impact.

The investing experiments done by early savers must end in midlife. It is time to treat retirement investing as serious business. A sound investment policy must be created and maintained to help ensure that midlife accumulators attain their retirement goals.

Midlife Accumulators—An Investment Framework